

Streamline Government Refinance Checklist

FHA Streamline Refinance and VA IRRRL (Interest Rate Reduction Refinance Loan)

Version:	1.0
Effective date:	January 13, 2026
Owner:	Operations / Underwriting
Purpose:	Standardize document and policy checks for Streamline Government refinances and support automation

How to use this checklist

Mark each item as Verified or N/A and record the evidence source (document name, page, or system record). If any required item fails, stop and issue conditions or mark Ineligible with the reason code in your LOS.

Recommended order of operations

1) Package completeness and document readability. 2) Program routing (FHA vs VA) and hard-stop eligibility. 3) Seasoning and payment history. 4) Borrower-change logic (FHA credit-qualifying determination). 5) Net Tangible Benefit / Recoupment calculations. 6) Title/subordination, payoff, and escrow/insurance validations (can run in parallel).

Section A - Intake and Package Completeness (All Streamline Government)

Checklist Item (Required unless marked N/A)	Status / Notes
Loan type identified: FHA Streamline or VA IRRRL is clearly indicated by broker/LOS.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Borrower identity: Names and property address match across key docs (URLA/worksheet, payoff, note/servicer history).	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Payoff statement present for the loan being refinanced (current payoff amount and good-through date).	☐ Verified ☐ N/A Evidence/Notes: _____ _____
12-month mortgage payment history/ledger present (or equivalent evidence) for the loan being refinanced.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Closing disclosure / fee worksheet present with itemized financed vs paid-outside costs (needed for VA recoupment).	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Title/vesting evidence present (prelim title or equivalent) and any subordinate lien info disclosed.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Hazard insurance and tax/escrow information present (declarations page and tax/escrow info or servicer proof).	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Document readability: all PDFs/images are legible; if not, condition for clean copies before evaluation.	☐ Verified ☐ N/A Evidence/Notes: _____ _____

Intake Gate Sign-Off (if used)	
Reviewed By (Name): _____	Date: _____
Role/Team: _____	Signature: _____
Comments/Exceptions: _____	_____

Section B - FHA Streamline Refinance Checklist

Applies to FHA-insured mortgages being refinanced under the Streamline Refinance program (credit-qualifying or non-credit-qualifying).

B1 - Program Eligibility (Hard Stops)

Checklist Item (Required unless marked N/A)	Status / Notes
Existing loan is FHA-insured and is the lien being refinanced (verify FHA case number/servicer evidence).	☐ Verified ☐ N/A Evidence/Notes: _____ _____
No cash-out: incidental cash back at closing does not exceed \$500.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Loan is current (not delinquent) at time of underwriting and expected to be current at closing.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Manual underwriting: Streamline is underwritten to FHA Streamline requirements (not AUS/TOTAL findings).	☐ Verified ☐ N/A Evidence/Notes: _____ _____

B2 - Seasoning and Mortgage Payment History

Checklist Item (Required unless marked N/A)	Status / Notes
Seasoning: borrower has made at least 6 payments on the mortgage being refinanced.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Seasoning: at least 6 months have passed since the first payment due date of the mortgage being refinanced.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Seasoning: at least 210 days have passed since the closing date of the mortgage being refinanced.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Payment history rule: validate the most recent 12 months and confirm the policy requirement for late payments prior to FHA case number assignment (document the rule set/version used).	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Forbearance: if prior forbearance applies, confirm it is completed and required post-forbearance payment history is satisfied per your policy.	☐ Verified ☐ N/A Evidence/Notes: _____ _____

B3 - Borrowers and Credit-Qualifying Determination

Checklist Item (Required unless marked N/A)	Status / Notes
Borrower comparison: compare borrowers on existing FHA note vs new loan.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Non-credit-qualifying allowed only if all borrowers remain (or borrower removal is permitted by documented exception such as death/divorce and payment history criteria are met).	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Credit-qualifying required if borrower additions/removals occur outside permitted exceptions.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Occupancy: occupancy type (owner-occupied, approved secondary, or non-owner) is documented and permitted under your FHA Streamline policy.	☐ Verified ☐ N/A Evidence/Notes: _____ _____

B4 - Required Documentation and File Integrity

Checklist Item (Required unless marked N/A)	Status / Notes
Case number: FHA case number assigned and recorded.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
URLA: abbreviated URLA permitted for non-credit-qualifying; full URLA required for credit-qualifying (per your policy).	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Credit-qualifying only: credit report, income documentation, and debt verification collected and reviewed.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Title/subordination: confirm any existing subordinate liens are properly subordinated and no new subordinate financing is added (unless permitted).	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Escrow: taxes and insurance escrow established/updated as required; validate hazard insurance coverage and tax status.	☐ Verified ☐ N/A Evidence/Notes: _____ _____

B5 - Net Tangible Benefit, Loan Amount, and Cash Back

Checklist Item (Required unless marked N/A)	Status / Notes
Net Tangible Benefit (NTB) test selected: identify scenario (fixed-to-fixed, fixed-to-ARM, ARM-to-fixed, term reduction, etc.).	☐ Verified ☐ N/A Evidence/Notes: _____ _____
NTB calculation completed using combined rate (note rate + annual MIP) and term change where applicable; attach calc output.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
NTB meets threshold for the selected scenario under the policy version in effect (record old vs new combined rate, term, and payment).	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Loan amount calculation: confirm base loan amount, financed items, and any UFMIP/MIP treatment per policy; confirm no impermissible costs are financed.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Cash-to-borrower: confirm cash back at closing is within \$500 maximum incidental cash back.	☐ Verified ☐ N/A Evidence/Notes: _____ _____

FHA Streamline Approval Sign-Off	
Reviewed By (Name): _____	Date: _____
Role/Team: _____	Signature: _____
Comments/Exceptions: _____	_____

Section C - VA IRRRL Checklist

Applies to VA Interest Rate Reduction Refinance Loans (IRRRLs) refinancing an existing VA-guaranteed loan.

C1 - Program Eligibility (Hard Stops)

Checklist Item (Required unless marked N/A)	Status / Notes
Existing loan is VA-guaranteed and is the loan being refinanced; verify via VA records/loan file.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Same property: IRRRL is secured by the same property as the loan being refinanced.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
No improper cash-out: ensure loan amount/rounding avoids cash to the Veteran (follow VA Form 26-8923 and rounding guidance).	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Allowable costs only: new loan includes only allowable fees/costs per VA guidance; document any discount points included.	☐ Verified ☐ N/A Evidence/Notes: _____ _____

C2 - Seasoning and Payment History

Checklist Item (Required unless marked N/A)	Status / Notes
Seasoning test: first payment due date is at least 210 days prior to IRRRL closing date.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Seasoning test: at least 6 consecutive monthly payments have been made on the loan being refinanced.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Evidence: payment history/ledger or other acceptable evidence retained in file.	☐ Verified ☐ N/A Evidence/Notes: _____ _____

C3 - Net Tangible Benefit (NTB)

Checklist Item (Required unless marked N/A)	Status / Notes
NTB scenario identified: fixed-to-fixed, fixed-to-ARM, or ARM refinance.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Fixed-to-fixed: new interest rate is at least 0.50% lower than the rate being refinanced (unless exempt under VA guidance).	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Fixed-to-ARM: new initial interest rate is at least 2.00% lower than the rate being refinanced and any applicable points/requirements are satisfied.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Payment change: confirm P&I; decreases unless permitted exception applies (ARM refinance, term reduction, energy improvements, etc.).	☐ Verified ☐ N/A Evidence/Notes: _____ _____

C4 - Fee Recoupment (Statutory 36-Month Test)

Checklist Item (Required unless marked N/A)	Status / Notes
Recoupment calculation completed: statutory fee recoupment period is 36 months or less (exclude taxes, escrow deposits, and the VA funding fee from the recoupment numerator as required).	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Recoupment evidence retained: final disclosure or separate calculation showing total fees/costs and monthly P&I; reduction.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
If P&I; is not reduced: confirm the file meets VA guidance for those limited cases (e.g., term reduction) and that impermissible fees are not charged where prohibited.	☐ Verified ☐ N/A Evidence/Notes: _____ _____

C5 - 20% Payment Increase Trigger

Checklist Item (Required unless marked N/A)	Status / Notes
PITI +20% trigger evaluated: compare old vs new total monthly payment (PITI).	☐ Verified ☐ N/A Evidence/Notes: _____ _____
If PITI increases by 20% or more: underwrite/verify ability to pay (income stability and obligations) and include lender certification that Veteran qualifies.	☐ Verified ☐ N/A Evidence/Notes: _____ _____

C6 - Required Documentation and Disclosures

Checklist Item (Required unless marked N/A)	Status / Notes
VA Form 26-8923 completed and retained (IRRRL Worksheet) and used to compute max loan amount.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Veteran statement and lender certification retained showing old vs new rate/payment and recoupment timeframe.	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Disclosures timing: required comparison/recoupment disclosures delivered per VA guidance (document timing in file).	☐ Verified ☐ N/A Evidence/Notes: _____ _____
Title/subordination: confirm any subordinate liens are subordinated and do not violate IRRRL requirements.	☐ Verified ☐ N/A Evidence/Notes: _____ _____

VA IRRRL Approval Sign-Off	
Reviewed By (Name): _____	Date: _____
Role/Team: _____	Signature: _____
Comments/Exceptions: _____	_____

Appendix - Automation Notes (for Workflow Diagram and Implementation)

This checklist is designed to be automation-friendly. Recommended automated gates: (1) Package completeness, (2) extraction confidence, (3) hard-stop eligibility, (4) seasoning/payment history, (5) borrower-change routing (FHA), (6) NTB and (VA) recoupment calculations, (7) parallel validations (title/payoff/escrow), (8) final decision and audit log persistence (rule outputs + evidence links + policy version).

Key data elements to capture

Program; property; borrower set (old vs new); note dates; first payment due date; payment history rows (last 12); old vs new rate, term, P&I, PITI; FHA annual MIP and combined rate; VA fees/costs for recoupment; funding fee; cash-to-borrower; subordinate liens; disclosure delivery timestamps; document-to-field evidence mapping.

References (Agency and Supporting Resources)

This checklist should be reviewed against your current overlays and the latest agency updates before adoption.

- HUD - Single Family Housing Policy Handbook 4000.1 information page (access point for current handbook versions).
- FDIC - FHA Streamline Refinance fact sheet (summary of program requirements).
- VA - Circular 26-19-22 (IRRRL recoupment, NTB, seasoning, disclosures) and VA Circular 26-19-22 Change 1 (recoupment clarification).
- VA - Circular 26-19-22 Exhibit B (recoupment calculation inclusions/exclusions).
- VA - Lenders Handbook (M26-7) Chapter 6: Refinancing Loans (IRRRL requirements, Veteran statement/certification, 20% PITI trigger, forms list).
- VA - Form 26-8923 (Interest Rate Reduction Refinancing Loan Worksheet), current edition.

Source links

HUD Handbook 4000.1 info page: <https://www.hud.gov/hud-partners/single-family-handbook-4000-1>

FDIC FHA Streamline Refinance: <https://www.fdic.gov/system/files/2024-07/streamline-refinance.pdf>

VA Circular 26-19-22: https://www.benefits.va.gov/HOMELOANS/documents/circulars/26_19_22.pdf

VA Circular 26-19-22 Change 1: https://www.benefits.va.gov/HOMELOANS/documents/circulars/26_19_22_Change1.pdf

VA Circular 26-19-22 Exhibit B: https://www.benefits.va.gov/homeloans/documents/circulars/26_19_22_exhibitb.pdf

VA M26-7 Chapter 6 Refinancing Loans (Oct 30, 2024):

<https://benefits.va.gov/WARMS/docs/admin26/m26-07/chapter6-refinancing-loans.pdf>

VA Form 26-8923 (Nov 2024): <https://www.vba.va.gov/pubs/forms/vba-26-8923-are.pdf>